

Governed adaptive-tax feedback loop

AI recommends • humans authorize

HOUSEHOLDS & FIRMS

Choose Comply or Avoid
Private effort and motives

HUMAN PUBLIC AUTHORITY

Accept, revise, or reject
Publish rule, reasons, and appeal

EXPERIMENTAL STRESS TEST

Explanation: transparent vs opaque

Continuation: fixed vs probabilistic

Separate trust from strategic learning

APPROVED SIGNALS

Reports, payoffs, prior log
Limited observability

BOUNDED AI RECOMMENDATION

Simulate tax-transfer updates
Explain evidence and trade-offs

recommend, do not legislate

OBSERVE → compliance • trust • welfare • revenue • volatility • complete event log

estimate responses

public rule & incentives